

PONDICHERRY UNIVERSITY
RAMANUJAN SCHOOL OF MATHEMATICAL SCIENCES
DEPARTMENT OF STATISTICS



M.Sc. QUANTITATIVE FINANCE
MSQF 535: Global Financial Management
LECTURE NOTES ON
Global Financial Management

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Course Objectives:

- The aim of this course is to provide an understanding of the fundamental concepts and managerial issues pertaining to international finance.

Course Outcomes (COs):

- CO1: Understand the global financial landscape:** Comprehend the roles and functions of international financial institutions and development banks like the World Bank, IMF, and ADB, as well as the process of internationalization.
- CO2: Analyze foreign exchange markets and rates:** Explain the mechanisms of the foreign exchange market, including spot and forward markets, cross-rates, bid-ask spreads, and apply theories determining exchange rates.
- CO3: Manage foreign exchange exposure:** Evaluate and manage various types of foreign exchange exposure (translation, transaction, and economic) using different methods and strategies.
- CO4: Assess multinational firm's financial management:** Analyze foreign direct investment decisions, cost of capital, capital structure, budgeting, cash management, country risk, and international taxation for multinational firms.
- CO5: Evaluate international financing operations:** Understand the characteristics and instruments of Eurocurrency markets, interest rate and currency swaps, depository receipts (GDR and ADR), and the implications of the Euro for India.

Unit-I: International Finance Overview & Institutions

International Finance — overview — International Financial Institutions/Development Banks — World Bank — IBRD — IDA — IFC — MIGA — International Monetary Fund — Special Drawing Rights — Asian Development Bank — Internationalization process.

Unit-II: The Foreign Exchange Market

The Foreign Exchange Market — SWIFT — Arbitrage — Spot market — Forward market — Cross rates of exchange — Bid — Ask spreads — Balance of payments — Foreign exchange rates — Theories of Foreign Exchange Rate.

Unit-III: Foreign Exchange Exposure and Management

Foreign exchange exposure and management — Management of translation exposure — Methods — Management of transaction exposure — Management of economic exposure — Methods — Strategies.

Unit-IV: Financial Management of the Multinational Firm

Financial Management of the Multinational Firm — Foreign direct investment — Cost of capital and capital structure of the multinational firm — Multinational capital budgeting — Multinational cash management — Country Risk Analysis — International Taxation.

Unit-V: Financing Foreign Operations

Financing Foreign Operations — Eurocurrency markets — Instruments — Interest rate swaps — Currency swaps and its pricing — Depository receipts — GDR and ADR — Euro and its implications for India.

Books for References:

1. Buckley, A. (1992): *Multinational Finance*, Prentice Hall, New Jersey.
2. Levich, R. M. (2001): *International Financial Markets: Prices and Policies*, McGraw Hill, New York.
3. Vij, M. (2001): *Multinational Financial Management*, Excel Books, New Delhi.
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COs	PO1	PO2	PO3	PO4	PO5
CO1	XXX	X	X	X	XX
CO2	XX	X	XX	X	X
CO3	X	XX	XX	X	X
CO4	XX	X	XX	XX	X
CO5	XXX	X	X	XX	XX

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Chapter 1

International Finance

1.1 International Financial Institutions

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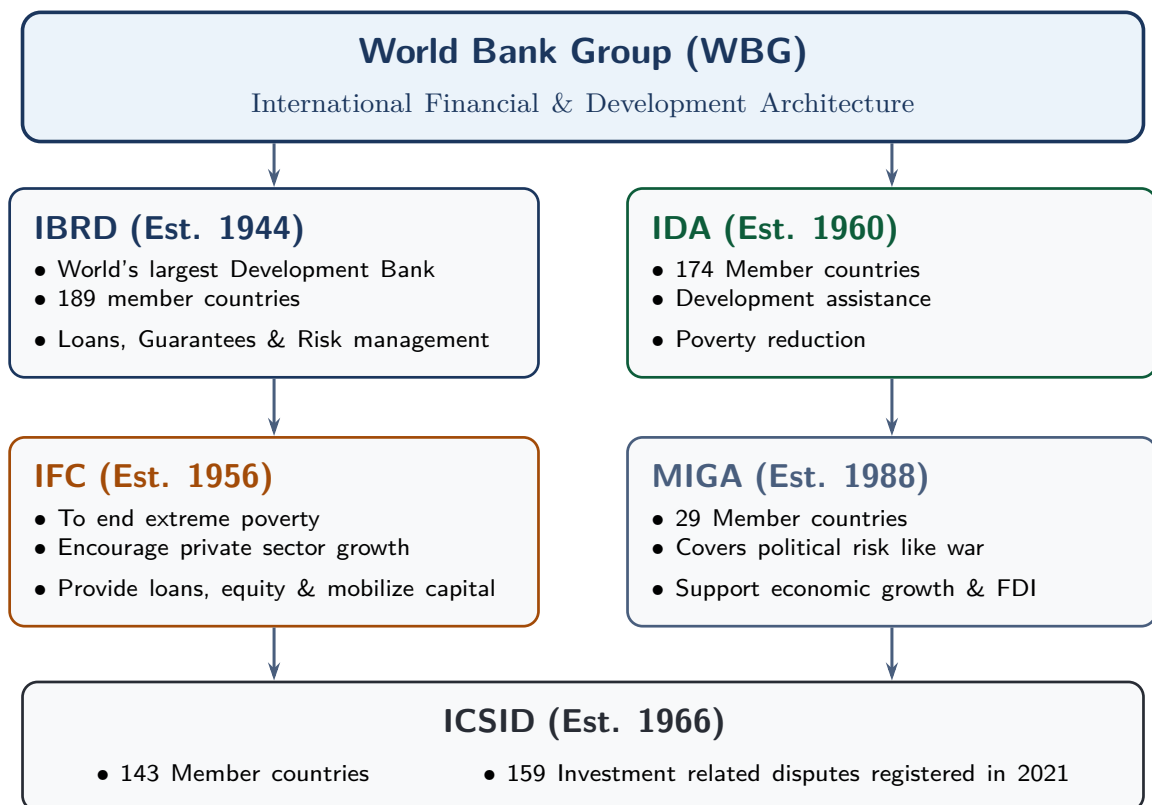


Figure 1.1: Constituent Institutions of the World Bank Group

1.1.1 IBRD (International Bank for Reconstruction and Development)

Institutional Profile: IBRD

- World's largest Development Bank.
- **Membership:** 189 countries member in this organisation.

Mission:

- Providing loans.

- Guarantee, Risk management products, advisory services for middle income and credit worthy and low income countries.
- Coordination responses to regional and global challenges.

1.1.2 IDA (International Development Association)

Institutional Profile: IDA

- **Established:** Formed in 1960.
- **Purpose:** Development assistance and poverty reduction.
- **Membership:** 174 Member of countries.

1.1.3 IFC (International Finance Corporation)

Institutional Profile: IFC

- **Established:** Established on 1956.

Mission:

- To end extreme poverty.
- To encourage private sector growth in developing countries.

Objective:

- **Investment money:** Provide loans and equity investment.
- **Mobilize capital:** Through commercial bank.
- **Provide advice:** Related to better policies, high environmental and social standards.

1.1.4 MIGA (Multilateral Investment Guarantee Agency)

Institutional Profile: MIGA

- **Established:** Established in 1988.
- **Membership:** 29 countries are member in this organisation.

Motives:

- MIGA covers political risk like war.

Objective:

- Support economic growth by encouraging FDI.
- Provides advisory services to help the developing countries.

1.1.5 ICSID (International Centre for Settlement of Investment Disputes)

Institutional Profile: ICSID

- **Established:** Established on 1966.
- **Membership:** It had 143 Member countries.
- **Disputes:** Total disputes registered on 2021, almost 159 investment related disputes.

1.2 World Bank: Operations, Funds, and Advisory Services

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1.2.1 Core Operational Areas

1. Agriculture and rural development
2. Economic policy
3. Education
4. Energy
5. Environment
6. Financial sector
7. Swift system
8. Health, nutrition
9. Information, telecommunication
10. Law and justice
11. Trade related issues
12. Social protection
13. Private sector
14. Trade
15. Water resource
16. Sanitation

1.2.2 Fund-Related Operations

Fund Generation:

- IBRD
- IDA
- World Bank Treasury

Through Loans:

- Investment loans
- Development policy loans

Grants, Relief, and Targeted Initiatives:

- Provide grants
- Provide relief on debt
- For improving sanitation and water supply
- Support of vaccination or immunisation program
- HIV and AIDS pandemic
- Initiate to cut the green house effect

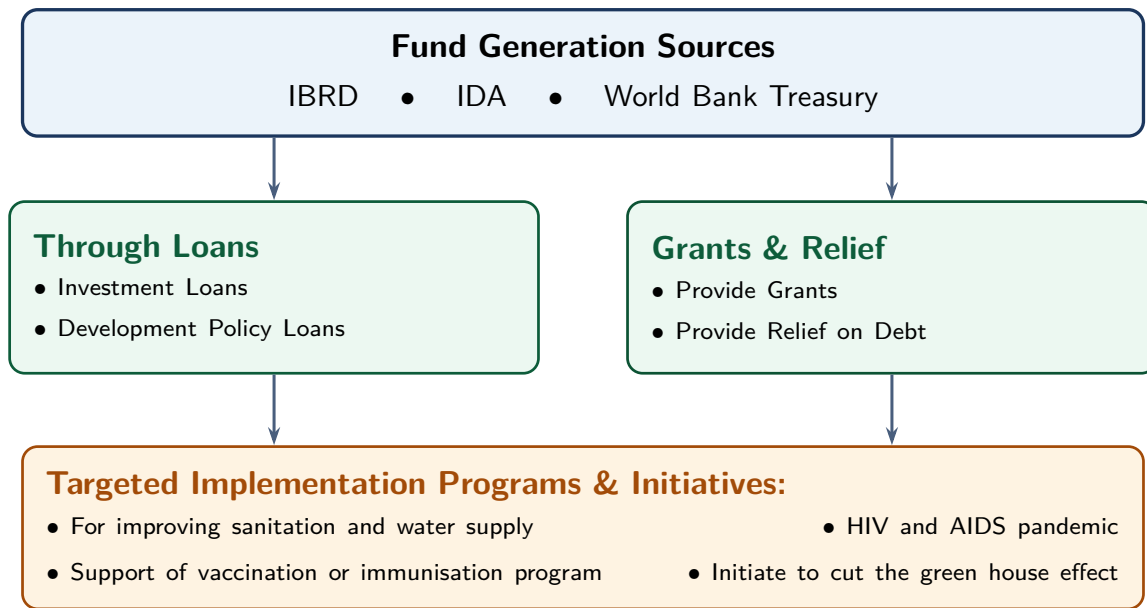


Figure 1.2: World Bank Fund Related Operations Flowchart

1.2.3 Analytics and Advisory Services

- Analytical support for poverty assessment
- Public expenditure reviews
- Country economic memoranda
- Social and structural reviews
- Sector reports
- Topics in development
- Capacity building
- Advisory service
- Global development learning network
- Global and regional programs

1.3 Governance and Bank Related Activities

1.3.1 Governance and Sovereign Representation

- Ministry of finance is the representative of world bank held once in a year.
- **Largest shareholder:** US, UK, France, Japan, Germany.
- President is elected by board of governors of 5 shareholders.

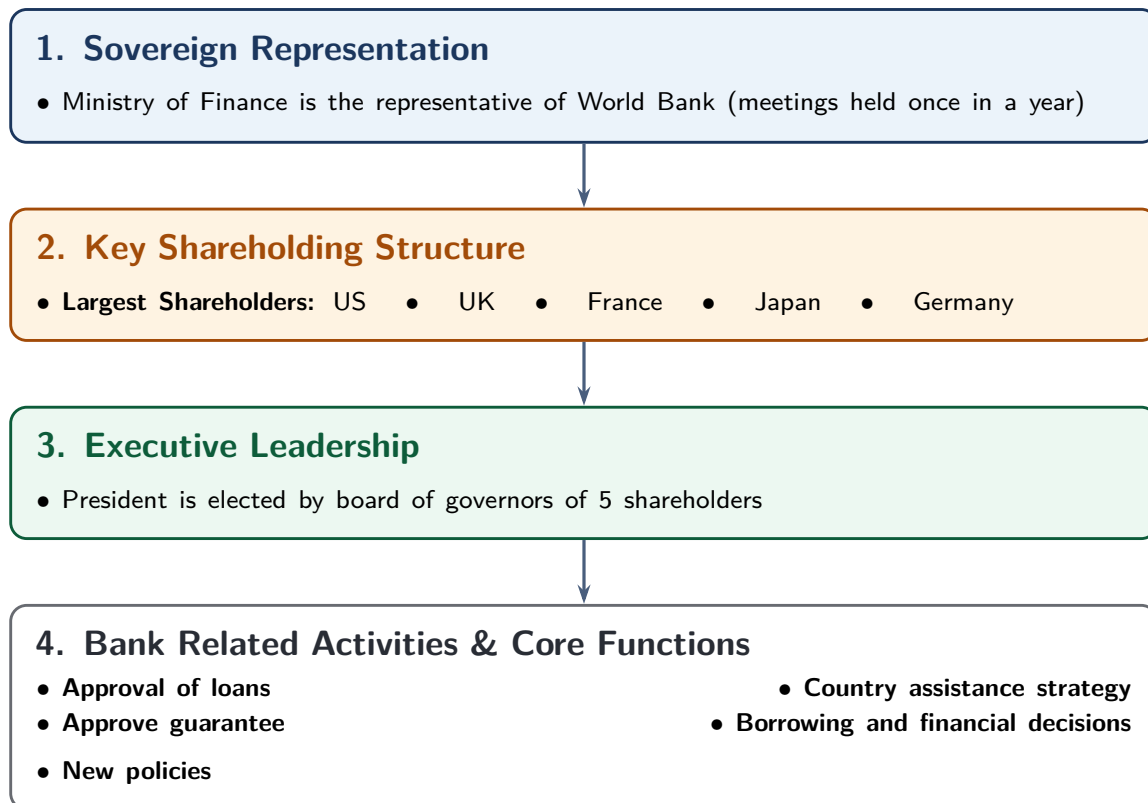


Figure 1.3: World Bank Governance Structure and Core Activities

1.3.2 Bank-Related Core Activities

- Approval of loans
- Approve guarantee
- New policies
- Country assistance strategy
- Borrowing and financial decisions

1.4 International Monetary Fund (IMF) & Sustainable Development Goals

Institutional Profile: International Monetary Fund (IMF)

The **International Monetary Fund (IMF)** was established in **1944** at the Bretton Woods Conference to foster global monetary cooperation, secure financial stability, facilitate international trade, promote high employment and sustainable economic growth, and reduce poverty around the world.

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1.4.1 Core Statutory Objectives of the IMF

The International Monetary Fund operates under six foundational statutory objectives:

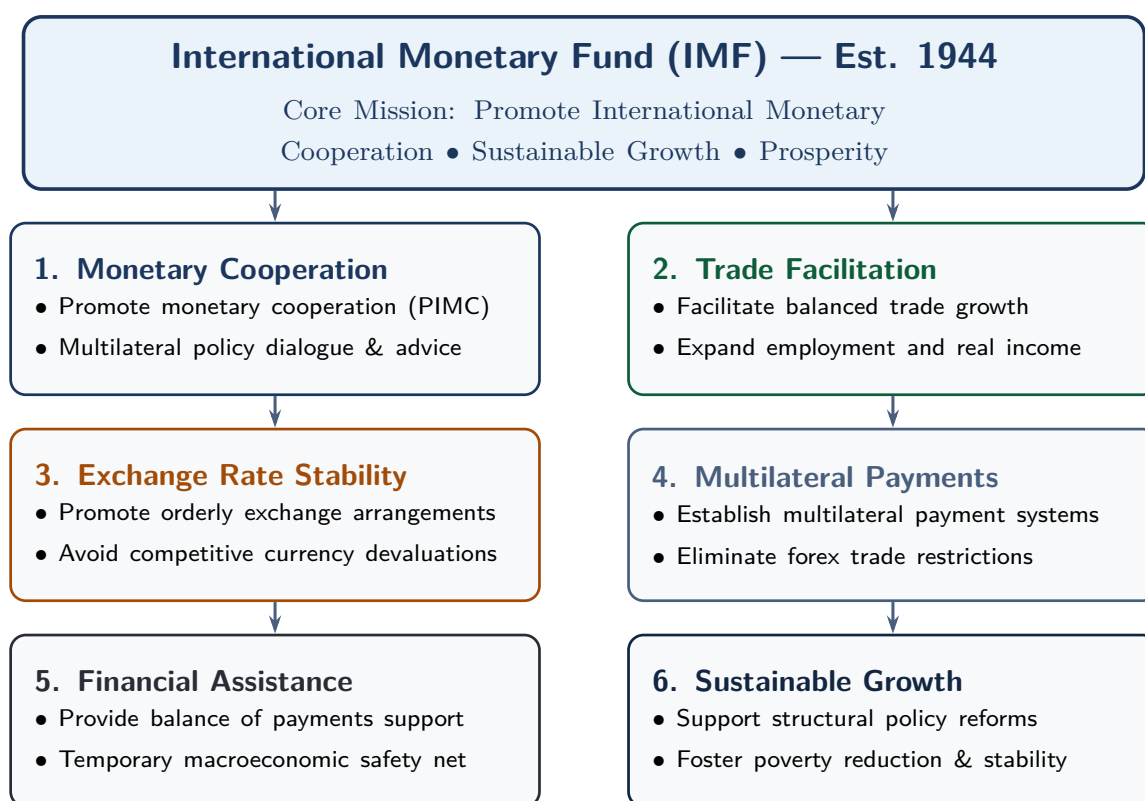


Figure 1.4: Core Strategic Objectives of the International Monetary Fund

1. **Promote International Monetary Cooperation (PIMC):** Providing the primary institutional machinery for consultation, dialogue, and collaboration on international monetary problems.
2. **Facilitate International Trade:** Promoting the expansion and balanced growth of international trade, contributing to high levels of employment and real income generation.
3. **Promote Exchange Rate Stability:** Maintaining orderly exchange arrangements among member states and avoiding competitive exchange depreciation.
4. **Establish Multilateral Payment Systems:** Assisting in establishing a multilateral system of payments for current transactions and eliminating foreign exchange restrictions that hamper world trade.
5. **Provide Financial Assistance:** Making its general resources temporarily available under adequate safeguards to members facing balance of payments disequilibria.
6. **Support Sustainable Economic Growth:** Helping countries design and implement resilient macroeconomic policies to foster prosperity and poverty reduction.

1.4.2 United Nations Sustainable Development Goals (SDGs)

The global macroeconomic architecture collaborates closely with international institutions to achieve the **17 Sustainable Development Goals (SDGs)** adopted by the United Nations:

#	Goal Name	Core Focus Area
SDG 1	No Poverty	End poverty in all its forms everywhere.
SDG 2	Zero Hunger	End hunger, achieve food security, and promote sustainable agriculture.
SDG 3	Good Health & Well-Being	Ensure healthy lives and promote well-being for all at all ages.
SDG 4	Quality Education	Ensure inclusive, equitable education and promote life-long learning.
SDG 5	Gender Equality	Achieve gender equality and empower all women and girls.
SDG 6	Clean Water & Sanitation	Ensure availability and sustainable management of water and sanitation.
SDG 7	Affordable & Clean Energy	Ensure access to affordable, reliable, sustainable modern energy.
SDG 8	Decent Work & Growth	Promote sustained, inclusive economic growth and decent work.
SDG 9	Industry & Infrastructure	Build resilient infrastructure, foster innovation and industrialization.
SDG 10	Reduced Inequalities	Reduce income and opportunity inequality within and among countries.
SDG 11	Sustainable Cities	Make cities and human settlements inclusive, safe, and resilient.
SDG 12	Responsible Consumption	Ensure sustainable consumption and production patterns.
SDG 13	Climate Action	Take urgent action to combat climate change and its impacts.
SDG 14	Life Below Water	Conserve and sustainably use oceans, seas, and marine resources.
SDG 15	Life on Land	Protect, restore, and promote sustainable terrestrial ecosystems.
SDG 16	Peace, Justice & Institutions	Promote peaceful, inclusive societies and build accountable institutions.
SDG 17	Partnerships for the Goals	Strengthen the means of implementation and global partnerships.

Table 1.1: The 17 United Nations Sustainable Development Goals (SDGs)

1.5 Balance of Payments (BOP) & IMF Macroeconomic Functions

Lecture
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Definition 1.5.1: Balance of Payments (BOP)

The **Balance of Payments (BOP)** is a systematic statistical record of all economic and financial transactions conducted between the **residents** of a country and the **rest of the world** during a specified time period (typically a quarter or a financial year).

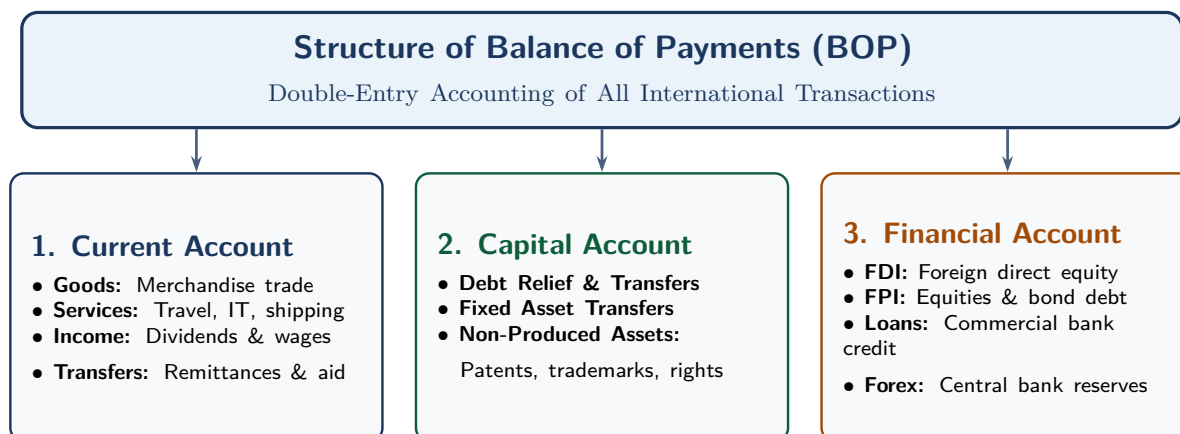


Figure 1.5: Constituent Accounts of the Balance of Payments Framework

1.5.1 Structure and Components of BOP Accounts

The Balance of Payments is structured into three primary interrelated accounts:

- 1. Current Account:** Records trade in goods and services, investment income, and unilateral transfers:
 - **Export and Import of Goods:** Visible / merchandise trade balance.
 - **Export and Import of Services:** Invisible trade (software services, banking, shipping, tourism).
 - **Primary Income (Investment Returns):** Cross-border investment returns (dividends, interest receipts/payments) and employee wages.
 - **Current Transfers (Secondary Income):** Unrequited unilateral flows including personal remittances, grants, donations, and gifts.
- 2. Capital Account:** Records net international capital transfers and non-financial asset movements:
 - **Capital Transfers:** Debt forgiveness, sovereign grants, and migrant asset transfers.
 - **Transfer of Fixed Asset Ownership:** Cross-border transfers of sovereign or institutional fixed assets.
 - **Acquisition / Disposal of Non-Produced, Non-Financial Assets:** Rights to natural resources, patents, trademarks, brand leases, and copyrights.
- 3. Financial Account:** Records international transactions in financial assets and liabilities:
 - **Foreign Direct Investment (FDI):** Long-term controlling equity investments in foreign enterprises (> 10% voting power).

- **Foreign Portfolio Investment (FPI):** Cross-border investments in equity shares, corporate debt, and sovereign bonds for yield rather than managerial control.
- **Other Investments:** Commercial bank lending, official bilateral loans, and trade credits.
- **Changes in Foreign Exchange Reserves:** Official reserve asset transactions managed by the Central Bank to stabilize the currency.

1.5.2 BOP Disequilibrium: Surplus vs. Deficit

- **BOP Surplus:** Occurs when autonomous international receipts exceed total autonomous payments:

$$\begin{aligned} \text{Total Receipts} &> \text{Total Payments} \\ \implies &\text{Net Inflow of Foreign Currency / Reserve Accumulation} \end{aligned} \quad (1.1)$$

- **BOP Deficit:** Occurs when autonomous international payments exceed total receipts:

$$\begin{aligned} \text{Total Payments} &> \text{Total Receipts} \\ \implies &\text{Net Outflow of Reserves / External Debt Expansion} \end{aligned} \quad (1.2)$$

1.5.3 Causes and Remedial Measures for BOP Deficits

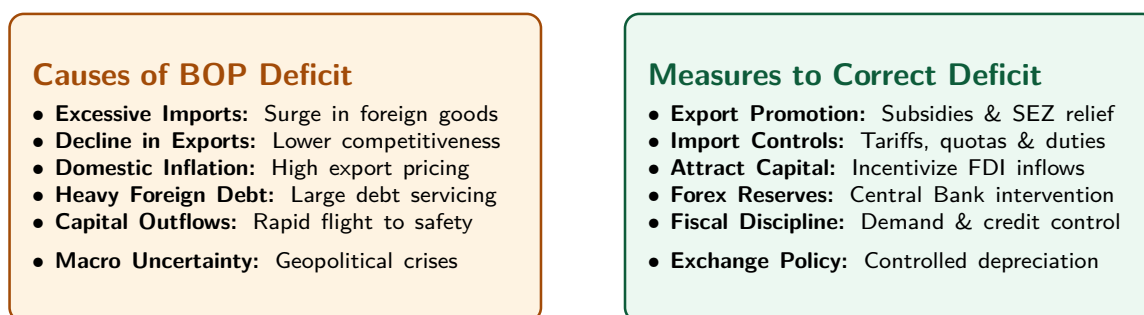


Figure 1.6: Macroeconomic Dynamics: Causes and Policy Correctives for BOP Deficit

1.5.4 Core Macroeconomic Functions of the IMF

The International Monetary Fund executes its mandate through three fundamental pillars of macroeconomic intervention:

1. Surveillance (Economic Health Monitoring):

- Conducts bilateral Article IV consultations with member nations.
- Monitors global, regional, and national economic policies, exchange rate regimes, and systemic financial vulnerabilities.

2. Financial Assistance (Lending):

- Provides balance of payments crisis loans and precautionary credit lines to countries facing external liquidity shocks.
- Conditions loans on economic stabilization programs and structural policy reforms.

3. Capacity Development (Technical Assistance & Training):

- Delivers specialized capacity building and advisory services to central banks, ministries of finance, and statistical agencies.
- Modernizes tax administration, monetary policy frameworks, banking supervision, and macroeconomic data systems.

1.6 Special Drawing Rights (SDR)

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Institutional Profile: Special Drawing Rights (SDR)

The **Special Drawing Right (SDR)** is an international supplementary foreign exchange reserve asset created by the **International Monetary Fund (IMF)** in **1969**.

- **Nature:** The SDR is **not a currency** and not a claim on the IMF itself.
- **Function:** It represents a potential claim on the freely usable currencies of IMF member states.

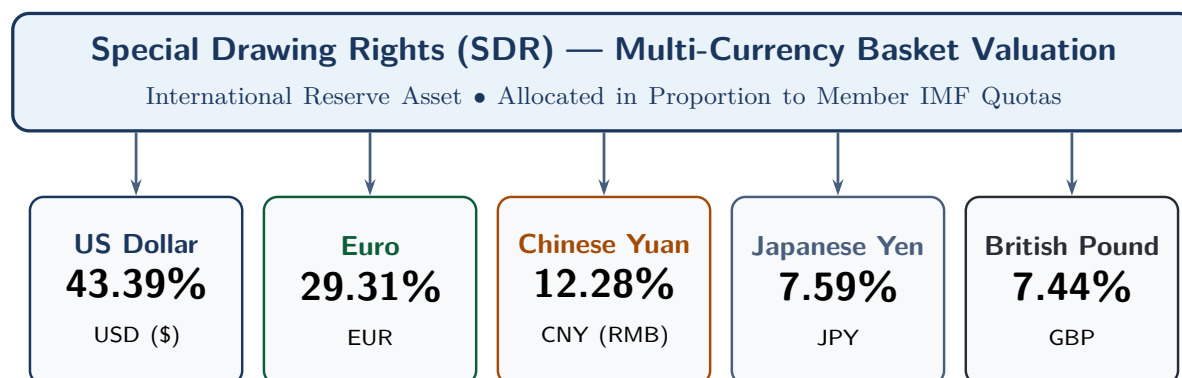


Figure 1.7: Composition and Weighting of the IMF Special Drawing Rights (SDR) Currency Basket

1.6.1 Purpose and Functions of SDR

- **Supplement Official Foreign Exchange Reserves:** Augmenting member countries' gold and foreign exchange reserve assets.
- **Provide International Liquidity:** Supplying unconditional liquidity to the global financial system during liquidity shortages.
- **Strengthen External Financial Position:** Enhancing sovereign balance sheet resilience without increasing debt distress.
- **Help Countries Meet BOP Needs:** Assisting nations during severe external balance of payments distress.

1.6.2 SDR Valuation Basket and Weightage

The value of the SDR is determined daily by the IMF on the basis of a trade- and finance-weighted basket of five major global currencies. The relative weights are reviewed every five years:

Currency	ISO Code	Central Bank / Authority	Approx. Weightage
US Dollar	USD	Board of Governors of the Federal Reserve System	43.39%
Euro	EUR	European Central Bank (Eurosystem)	29.31%
Chinese Yuan (Renminbi)	CNY	People's Bank of China	12.28%
Japanese Yen	JPY	Bank of Japan	7.59%
British Pound Sterling	GBP	Bank of England	7.44%

Table 1.2: Constituent Currencies and Weightages of the SDR Basket

1.6.3 Allocation and Interest Mechanism of SDRs

- **Allocation of SDRs:** SDRs are allocated to IMF member nations in direct proportion to their existing **IMF Quota shares**. Members can hold SDRs as part of their official reserves or exchange them with other members for freely usable currencies.
- **SDR Interest Rate (SDRi):** The SDR interest rate is calculated weekly based on a weighted average of representative short-term interest rates in the money markets of the SDR basket currencies.

1.6.4 Core Strategic Objectives of SDRs

1. **Increase Foreign Exchange Reserves:** Bolsters national central bank reserve adequacy metrics.
2. **Improve Liquidity During Crisis:** Infuses non-debt-creating global liquidity during systemic macroeconomic shocks.
3. **Reduce Pressure on Forex Reserves:** Decreases reliance on expensive domestic borrowing or volatile external debt markets.
4. **Support Balance of Payments (BOP):** Bridges temporary external account deficits.

1.7 Asian Development Bank (ADB) & Institutional Comparison

Institutional Profile: Asian Development Bank (ADB)

- **Established:** 1966.
- **Headquarters:** Manila, Philippines.
- **Nature of Institution:** Multilateral Development Bank (MDB).
- **Geographic Scope:** Asia and the Pacific Region.
- **India's Membership:** Founding member of ADB since 1966.

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1.7.1 Core Objectives and Operational Mandate of ADB

- **Reduce Poverty:** Eradicating extreme poverty across member developing nations.
- **Promote Economic Growth:** Fostering sustainable, inclusive economic progress.
- **Support Infrastructure Development:** Financing critical capital assets (transportation, energy, telecommunications).

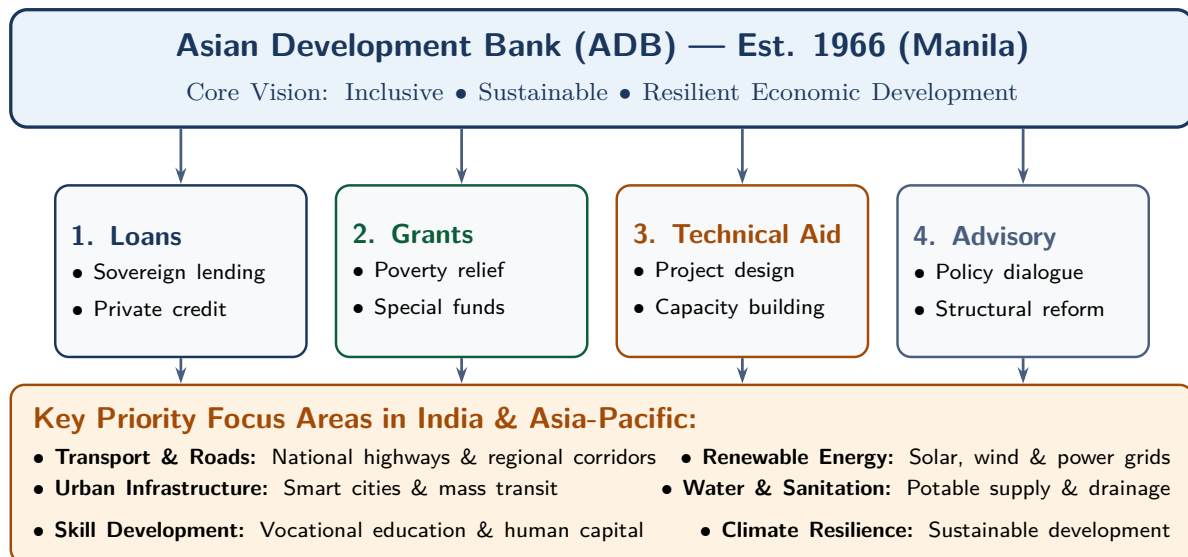


Figure 1.8: Asian Development Bank: Operational Channels and Priority Development Areas

- **Encourage Regional Cooperation:** Deepening cross-border economic ties and regional trade integration.
- **Promote Environmental Sustainability:** Addressing climate change mitigation and adaptation.
- **Improve Social Development:** Investing in education, healthcare, and gender equity.

1.7.2 ADB and India Partnership Focus Areas

India is a founding member of the ADB (since 1966) and one of its largest borrowers. The partnership focuses on six key pillars:

1. **Urban Infrastructure:** Water management, sewerage, and smart urban mobility.
2. **Transport and Roads:** State highways, rural connectivity, and economic corridors.
3. **Renewable Energy:** Solar parks, green energy corridors, and transmission modernization.
4. **Water and Sanitation:** Irrigation modernization and clean drinking water access.
5. **Skill Development:** Industrial training institutes and youth workforce readiness.
6. **Climate Resilient Development:** Coastal protection and climate adaptation programs.

1.7.3 Comparative Analysis: ADB vs. IMF

Asian Development Bank (ADB) • Scope: Regional MDB for Asia-Pacific • Mandate: Long-term socio-economic growth • Financing: Project loans, grants & equity • Priority: Infrastructure, climate & poverty relief • Tool/Window: Concessional development funds	International Monetary Fund (IMF) • Scope: Global Institution (190 members) • Mandate: Global monetary & FX stability • Financing: Balance of payments crisis loans • Priority: Macroeconomic surveillance & reform • Tool/Window: Special Drawing Rights (SDRs)
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Figure 1.9: Institutional Comparison: Asian Development Bank (ADB) vs. International Monetary Fund (IMF)

Dimension	Asian Development Bank (ADB)	International Monetary Fund (IMF)
Institutional Nature	Regional Multilateral Development Bank	Global Monetary Authority
Geographic Scope	Asia and the Pacific Region	Global (Worldwide membership)
Primary Objective	Long-term economic development and poverty reduction	Global monetary stability and BOP crisis resolution
Financing Structure	Project-specific capital loans, equity, and grants	Short-to-medium-term balance of payments support
Core Instruments	Sovereign/non-sovereign project loans, technical aid	Stand-by Arrangements, EFF, SDRs

Table 1.3: Summary Matrix: Key Differences between ADB and IMF

1.8 Internationalisation Process

Definition 1.8.1: Internationalisation

Internationalisation is the strategic process of expanding a company's business operations, products, and services into foreign markets across international borders.

1.8.1 Stages of Internationalisation

The evolution of a domestic firm into a globally integrated enterprise typically progresses through five distinct developmental stages:

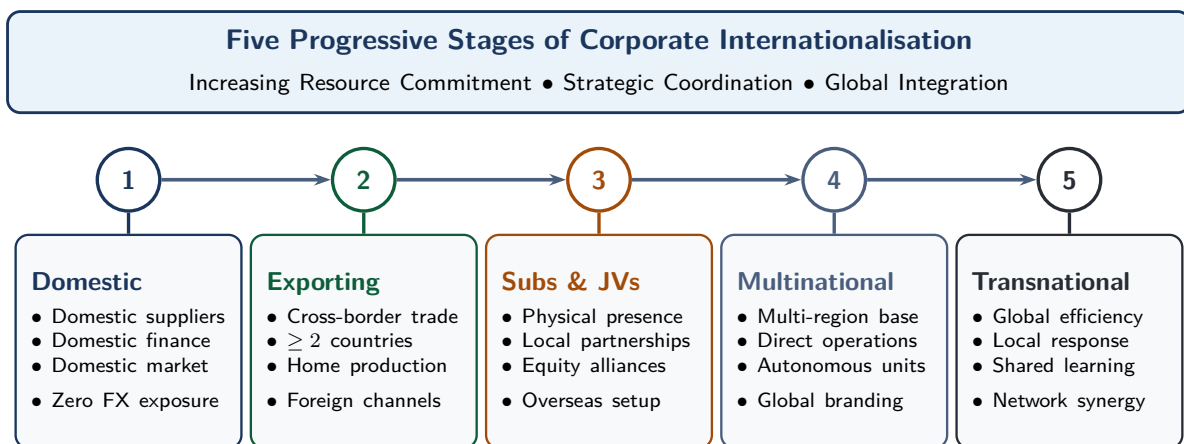


Figure 1.10: The Five Progressive Stages of the Corporate Internationalisation Process

1. **Domestic Operations:** Domestic companies focus exclusively on domestic suppliers, domestic financial institutions, and domestic market opportunities without active foreign exposure.
2. **Export Operations:** In this stage, the firm expands sales beyond the home country; while engaging in export activities, business operations span across two or more countries.
3. **Subsidiaries and Joint Ventures:** The business establishes physical partnerships, localized manufacturing units, or overseas operational offices to secure local market footprint.
4. **Multinational Operations:** Operations are built and coordinated across multiple geographic regions, operating with substantial international assets and multi-country facilities.
5. **Transnational Operations:** The firm operates as an integrated global network, dynamically balancing global scale efficiency with local responsiveness across all national markets.

1.8.2 Motivations for International Expansion

Firms undertake cross-border expansion driven by key strategic imperatives:

- **Market Growth (Domestic Saturation):** When domestic markets become saturated, expanding overseas unlocks new customer bases and sustained sales volume.
- **Cost Reduction:** Achieving economies of scale and operational efficiencies by spreading overhead and fixed costs over larger global production volumes.
- **Competitive Pressures:** Responding to global competitors entering domestic turf or defending worldwide market share by establishing presence in rival home markets.
- **Customer Following (Suppliers Follow Their Customers):** Specialized suppliers expand internationally to maintain seamless service relationships with their multinational corporate buyers.
- **Attractive Cost Structures Globally:** Leveraging cross-border cost disparities, such as lower labor costs, cheaper raw materials, and regional tax and infrastructure incentives.
- **Growth Rate and Potential:** Capturing growth opportunities in high-potential emerging economies experiencing rapid industrial and consumption expansion.

1.8.3 Foreign Market Entry Strategies

Entering international markets involves selecting an appropriate entry mode that balances operational control, resource commitment, and financial risk:

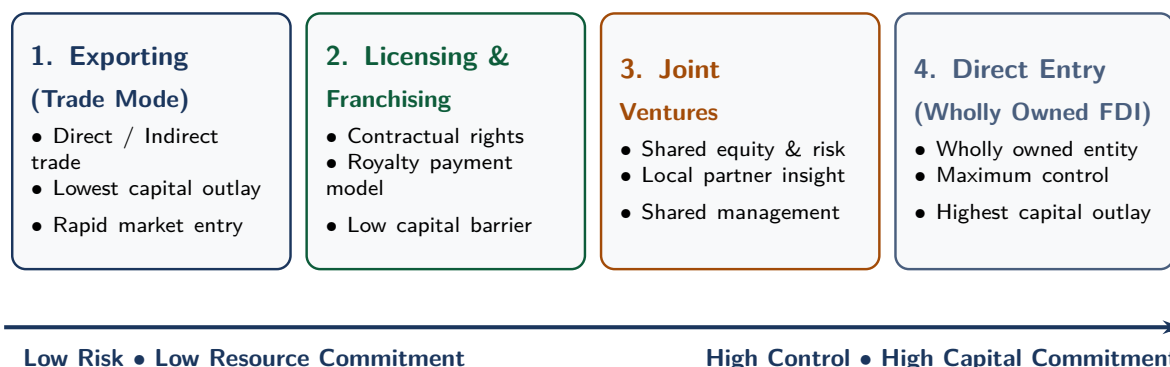


Figure 1.11: Strategic Spectrum of Foreign Market Entry Modes

1. **Exporting:** Selling domestically produced goods directly or indirectly through foreign intermediaries, minimizing initial capital exposure.
2. **Licensing and Franchising:** Granting foreign partners legal rights to intellectual property, trademarks, or operational systems in return for fees and royalties.
3. **Joint Ventures:** Forming an independent commercial entity jointly owned with a domestic or international partner to share capital, risks, and local market expertise.
4. **Direct Investment (FDI):** Committing direct equity capital to establish wholly-owned foreign subsidiaries or acquire local operating enterprises, securing maximum operational control.

1.8.4 Strategic Advantages and Disadvantages of Internationalisation

Expanding globally yields significant strategic benefits while exposing multinational enterprises to multidimensional environmental risks:

Strategic Advantages	Operational & Market Disadvantages
High Living Standards: Access to diversified, high-quality consumer products and advanced services bolsters global living standards. Wider Market: Broadens addressable customer reach beyond saturated domestic boundaries, accelerating sales growth. Large Scale Economies: Global manufacturing, procurement, and distribution generate substantial economies of scale. Cultural Transition: Enhances corporate cross-cultural knowledge, managerial flexibility, and global workforce synergy. Optimum Utilisation: Ensures optimal worldwide allocation of capital, specialized labor, and productive physical resources.	Political Factors: Vulnerability to foreign government policies, geopolitical friction, expropriation risk, and regulatory changes. Exchange Instability: Unhedged currency volatility generates translation, transaction, and economic exposure. Tariffs, Quotas & Trade Barriers: Protectionist cross-border tariffs, quantitative import quotas, and non-tariff friction. Technological Challenges: Cross-border technology transfer costs, disparities in technical infrastructure, and intellectual property theft. Managerial Complexity: Escalating communication overhead, coordination latency, and multi-jurisdictional compliance costs.

Table 1.4: Summary Matrix: Advantages and Disadvantages of Corporate Internationalisation